



[Weekly Market Commentary](#)

Dear clients,

The US Securities and Exchange Commission (SEC) officially approved 11 spot bitcoin ETFs in the US (8 of which are [partnered](#) with Coinbase) on January 10, 2024 in a watershed moment for the expansion of the cryptoeconomy. Our expectation is that these products – introduced by the world’s largest asset managers – will unlock diversified pools of new investors to spur long-term growth and product innovation.

BTC trading volumes have picked up sharply across centralized exchanges following the approval, although as we go to publish, it’s still difficult to disentangle how much of these volumes represent the net creation of new ETF shares. Also, the outstanding question remains: what will be the size of the net inflows that ETFs attract through their first day, week, month and year of launch. Ultimately, we think this will put more attention on the next ETF chapter, as the banks and broker-dealers (who manage over 80% of the assets in the wealth management industry) run the due diligence reviews needed to offer these products to their clients.

Separately, the ETF approvals seemed to have an outsized positive effect on ETH performance alongside BTC. We think this not only reflects ETH’s undervaluation relative to BTC in recent months, but also the potential career risk of under-owning ETH as crypto becomes a more formalized asset class among institutional investors. Indeed, we think the consideration of spot ETH ETFs may be an important catalyst for ETH flows in 2Q24, even more relevant than the Cancun (Dencun) Fork in 1Q24.

Finally, Coinbase and Glassnode recently teamed up to create the Guide to Crypto Markets – a look at the most important onchain analytics and advanced trading metrics in crypto. With all eyes on crypto right now following a stellar year of performance, the question investors are asking is where in the cycle are we, and how much of this momentum will carry through into the rest of 2024 and beyond. For more see our [full report](#).

Read full report

Best,
The Coinbase Institutional Team

Weekly Market Call

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